ARTICLE 21. CONSENT AGENDA

To see if the Town will vote to transfer from Free Cash, or other available funds, to the Employee Healthcare and Health Insurance Stabilization Fund established at the Spring 2022 Town Meeting in accordance with MGL Chapter 40 §5B; or take any other action in relation thereto.

(Select Board)

MOTION: MOVED AND SECONDED that the Town vote to appropriate $148,000 from Free Cash to the Employee Healthcare and Health Insurance Stabilization Fund established at the Spring 2022 Town Meeting in accordance with MGL Chapter 40 § 5B.

BACKGROUND: *In the Spring of 2022, Town Meeting approved the creation of the Employee Healthcare and Health Insurance Stabilization Fund in accordance with MGL Chapter 40 § 5B. The purpose of the fund is to set aside reserves to offset unforeseen increases in employee healthcare expenses. Town Meeting approval is required to transfer funds into and out of the fund.*

In the Fall of 2023, the Select Board adopted a set of guidelines governing recommendations for the transfers in and out of the fund. The Select Board has committed to reviewing turnbacks from the prior year health insurance budget each fall, and considering appropriation of those funds from Free Cash into this fund, such that the fund balance does not exceed 10% of the current fiscal year health insurance budget (FY27 health insurance budget = $17,916,219).

This past Spring, Town Meeting voted to use most of the fund balance, or $80,000, to help fund the FY27 health insurance budget. The current balance of the fund is approximately $1,500. The final turnback from the FY26 health insurance budget was approximately $148,000, hence, the Select Board is proposing to transfer $148,000 of Free Cash into the fund.

2/3rd Vote Required